

Iran sanctions won't derail Trump-Xi summit

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【メール原文】

The US sanctions rollout targeting Iran falls below the threshold that would disrupt the US-China summit in September. The standoff between the US and|||||||

Daily Brief

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summary

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The US sanctions rollout targeting Iran falls below the threshold that would disrupt the US-China summit in September.

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The standoff between the US and Iran is likely to drag on, keeping oil product prices elevated.

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Mexican President Claudia Sheinbaum's targeted concessions will shield US-Mexico trade talks from politically sensitive security disputes.

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Geopolitical competition will undermine global efforts to address AI's most pressing risks.

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Countries and sectors in this edition of the Daily Brief include the US, Canada, China, Iran, Malaysia, Mexico, Nigeria, geo-economics, geo-technology, and oil.

the top line

US, China, MENA Crisis—Sanctions D-Day stops short of upending Trump-Xi summit

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The sanctions rollout on 24 August stopped short of imposing major new measures; instead, it significantly expanded the potential scope of sanctions and explicitly demanded that countries halt dealings with Iran.

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The announced measures fall below the threshold that would disrupt the summit between presidents Donald Trump and Xi Jinping scheduled for September, and the administration's messaging in Treasury Secretary Scott Bessent's speech indicates that the US will continue to prioritize keeping the summit on track. China's public comments on the sanctions suggest that Beijing can tolerate some limited measures, but any action targeting one of China's largest banks would remain unacceptable.

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Despite Bessent's indication that the US will target a "major financial institution" by the end of the week, the newly announced sanctions are unlikely to shift Iran's strategy in the near term. The US would need a more durable sanctions expansion to impose major economic pain on the Iranian regime, though Tehran would likely return to kinetic engagement before it capitulates.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Oil—Product prices will outpace crude as Middle East conflict drags on

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While the risk of US escalation has fallen, the standoff between the US and Iran will likely drag on, keeping crude prices elevated.

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Crude flows through the Strait of Hormuz remain above the wartime average, with data suggesting 6-8 million barrels per day (bpd) is passing through despite Iranian attacks.

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Disruptions to refining operations have pushed product prices up faster than crude prices, contributing to historically high refiner margins.

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In the US, diesel will face tighter supplies, while Europe's core concern remains heating oil.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net.

Canada, US—Chart of the Day: Return to trade status quo is unlikely

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Section 338 tariffs imposed on Friday have increased the US effective tariff rate—the import-weighted average of applied tariff rates—by 0.2 percentage points to 11.5% and raised the US effective tariff rate on Canada by 1.9 percentage points to 7.4%, surpassing the rate in place before the Supreme Court struck down International Emergency Economic Powers Act (IEEPA) tariffs in February.

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A deal to avoid the threatened implementation of Canadian retaliatory tariffs on 8 September is unlikely, and the return to the status quo before last week's escalation has a 30% probability.

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Trump's threat to raise tariffs on Canadian autos, auto parts, and trucks to 50% on 1 January 2027 is likely a negotiating tactic. If implemented as threatened, along with other new global Section 232 tariffs on pharmaceuticals, polysilicon, and drones, the US effective tariff rate on Canada would increase to 11% by 1 January, moving Canada from one of the lowest rates among top US trading partners to close to India's rate (11.8%).

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net.

Mexico—Security concessions will shield US trade talks from political spillover

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Renewed pressure from Washington will push Sheinbaum to offer targeted concessions to prevent politically sensitive security disputes from spilling into ongoing trade negotiations.

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Sheinbaum successfully rallied Morena governors and legislators to oppose the unilateral return of Sinaloa Governor Ruben Rocha (who is facing US criminal charges), strengthening her authority and demonstrating support for her approach to handling the US relationship.

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While any further moves against Rocha would only temporarily ease US pressure, Mexico does stand to benefit from the collapse in US-Canada trade talks, as the Trump administration is likely searching for a trade win that a US-Mexico deal could deliver.

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Read more here . Reach out to discuss: mexico@eurasiagroup.net.

Geo-technology—Geopolitical competition will fracture global efforts to tackle AI risks

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A growing number of overlapping global AI governance initiatives will fail to produce an effective venue to address the technology's most pressing risks as they struggle to combine broad membership with meaningful policy scope and depth. Any potential multilateral framework is still years away.

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China's launch of the World AI Cooperation Organization marks a deepening split within governance efforts along geopolitical lines. US-China talks may nonetheless serve as a critical fail-safe—the most serious or catastrophic AI risks cannot be managed without US-China cooperation.

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Open-weight models will continue to lag on safety, as China will be unwilling to rein in its leading developers in the global AI race.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

eg in depth

Mexico—Rocha retreat will solidify Sheinbaum's control over Morena: The Sinaloa Governor's rapid reversal after attempting to return to office demonstrates Sheinbaum's firm control over Morena and her ability to discipline senior party figures when they become political liabilities. Rocha's brief return appears to reflect an effort to limit his legal exposure after the arrest of a key witness, but his retreat under pressure from Sheinbaum indicates that politically exposed governors have little room to put personal interests ahead of party discipline. The episode will strengthen Sheinbaum's leverage ahead of Morena's 2027 candidate selection process, although it will stoke underlying tensions with parts of former President Andres Manuel Lopez Obrador's political network. Read more here . Reach out to discuss: mexico@eurasiagroup.net.

Nigeria—Fuel subsidies will be at the center of 2027 campaign debate: In the opening week of campaigning, President Bola Tinubu's administration defended its main reforms and detailed how the government has used savings from the 2023 removal of fuel subsidies. Former Vice President Atiku Abubakar, Tinubu's main challenger, focused his early campaign on how subsidy removal has raised living costs and pledged to introduce a redesigned subsidy program focused on Nigerian refineries

rather than fuel importers. Abubakar's message appears to have resonated with voters—particularly in the north—who view cheap fuel as a benefit of the country's oil production. However, his populist message is highly unlikely to be translated into policy. Nigeria's business and political leaders broadly agree that fuel subsidies were bad policy, and their removal has enabled a more market-driven and transparent foreign exchange market. This means Abubakar will probably face pressure to walk back or dilute his position as the campaign progresses. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Malaysia—Prime Minister Anwar Ibrahim's coalition is likely to lose the Melaka state election: The poll, expected in September or November, will likely pit Anwar's Pakatan Harapan (PH) coalition against its federal coalition partner Barisan Nasional (BN) again, as in recent state polls—underscoring mounting strains within the ruling alliance. BN is expected to retain control of Melaka, as it benefits from incumbency, several popular younger state leaders, and momentum from recent electoral victories in Johor and Negeri Sembilan state elections. A BN win would mark the fourth consecutive state poll loss for PH over the past year. The result will not alter the composition of the federal parliament, and Anwar is still likely to remain in office until the next general elections, expected in late 2027. Nevertheless, another setback would increase pressure on him to bolster support through populist measures, as well as the expanded use of lawfare against political rivals, and to ensure BN continues to support him. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Upcoming events:

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26 August: Events: Nvidia earnings.

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27 August: Data: China industrial profits, Mexico trade, and US wholesale inventories; Central bank decisions: Philippines and South Korea.

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28 August: Events: BYD earnings; Data: Eurozone consumer confidence, India IP, Japan unemployment, US UMich consumer confidence and nonfarm payroll preliminary revisions.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

"Beginning today, the actions of Treasury and other agencies will tighten the noose and block every potential source of revenue that funds the IRGC and the Iranian regime."—Bessent said in a statement on 24 August.

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